

Market Watch

US inflation, payrolls data support rate hike this week

Summary

Event: US core inflation rose 0.3% m/m in August, beating consensus expectations for a 0.2% rise. The inflation report follows a stronger-than-expected jobs report for August. The combination supports a Fed rate hike this week. However, annual core inflation eased to 2.4% y/y, from 2.5%, sustaining the disinflationary trend. Therefore, a Fed rate hike this week is likely to be one-off, not the start of a hiking cycle.

Market reaction: Bond and FX markets were relatively muted, while the S&P500 index jumped 0.9%. The policy rate sensitive US 2-year yield rose 4bps to 4.63% as markets factored in almost 90% chance of rate hike this week. US 10-year and 30-year yields were little changed at 4.97% and 5.35%, respectively. The USD index (DXY) rose 0.1%, staying close to its 200-day moving average.

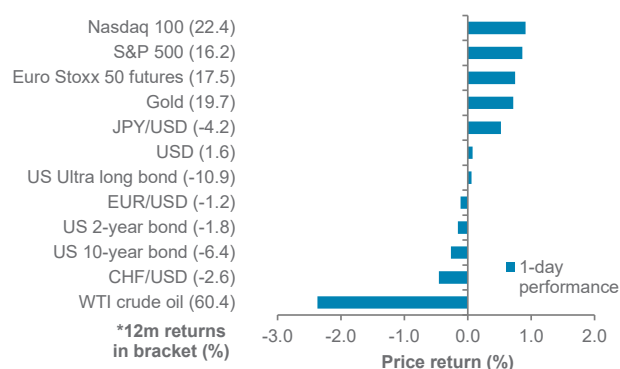
Investment strategy: The latest inflation report for August reinforces the case for a rate hike at this week's Fed policy meeting. As signalled in our previous CIO publications, "Rising Risk of a Fed Rate Hike" and "Inching towards a Fed 'credibility' hike", we now believe there is 90% chance that the Fed will raise the Fed Funds Rate in September.

We view this more as a "credibility" hike by the Fed due to Chair Warsh's hawkish rhetoric at the Fed's recent annual Jackson Hole summit. US core consumer inflation, while hotter than expected, continued to move in the right direction on an annualised basis, easing to 2.4% y/y, from 2.5%. Also, US wage growth continues to slow, as reflected in the latest average hourly earnings. As such we do not believe this is the beginning of a cycle of multiple rate hikes by the Fed.

Risks to the view: Headline inflation accelerated to 0.4% m/m and stayed elevated at +3.4% y/y. Energy prices, driven by the Middle East conflict, were a primary contributor, with oil prices having surged in the days preceding the print. The producer inflation report released last week also showed producer prices rising 0.4% m/m, the most since May, and 5.4% y/y, further reinforcing the inflationary backdrop.

US stocks rose, while bond yields and the USD were little changed, after a slightly hotter-than-expected inflation report cemented the chance of a Fed rate hike

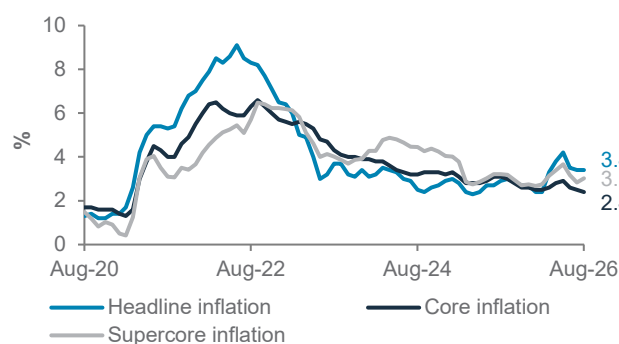
Asset performance: 10-Sep close to 11-Sep close



Source: Bloomberg, Standard Chartered

US core inflation continued to ease in August, despite a m/m acceleration. This argues for one rate hike, not the start of a multiple rate hiking cycle

US headline, core and supercore* inflation



Source: Bloomberg, Standard Chartered; *core services, ex-housing

Moreover, the unexpected rise in the so-called supercore (core services less housing) inflation, to 0.5% m/m and 3.0% y/y would support the hawks in the Fed in their view that there is increasing risk higher energy prices are spilling over to service sector prices. We need to watch closely the latest acceleration in core services inflation as there is a risk that price pressures may be broadening beyond the energy sector. If oil prices stay above USD 100/bbl for a prolonged period, the Fed may be forced to hike multiple times to prevent a de-anchoring of inflation expectations.

Fed policy implications

The Fed enters its 15-16 September policy meeting with the committee visibly divided (the Fed voted 9-3 in July to hold rates), though the latest US non-farm payrolls and CPI prints have tilted the balance toward a hike.

Several key dynamics are in play: i) Chairman Warsh faces intensifying pressure to raise rates following the print, with the report bolstering the argument that underlying inflation remains sticky; ii) Governor Waller had explicitly stated his September decision would be "heavily influenced" by the August inflation data and had signalled openness to a hike if inflation did not show continued progress toward the 2% goal. He also cautioned he did not want to "raise rates into disinflation"; iii) Governor Barr said the Fed should raise rates if inflation is not moderating, citing PCE inflation holding at 3.7% y/y in July, well above the 2% target; and iv) New York Fed President Williams had taken a more measured tone prior to the print, noting inflation was continuing to trend down and that tariff effects were moving into the rearview mirror.

A notable political dimension: President Trump publicly demanded the Fed lower rates following the August jobs report, intensifying the political pressure on the institution.

Bottom Line

The August inflation print, particularly the above-consensus core reading, which follows the much stronger-than-expected payrolls data, effectively seals expectations for a 25bps rate hike at the 15-16 September Fed meeting. The data did not provide the dovish cover needed for the more cautious members of the committee to hold, and Chairman Warsh faces a politically charged but data-supported case for action.

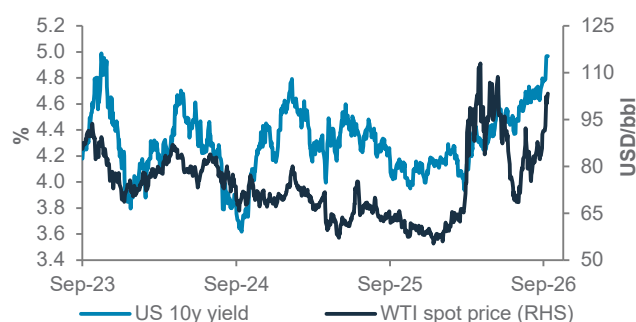
The more consequential question for markets is now the Fed press conference: whether Warsh signals this as a one-and-done move or maintains a tightening bias given inflation still running above the 2% target. Should the Fed hike this week and sound hawkish, it would likely be USD bullish and gold bearish in the near term.

— **Jonathan Liang**, CIO for Fixed Income and FX

Rajat Bhattacharya, Senior Investment Strategist

US bond yields have been primarily driven lately by a surge in crude oil prices

US 10-year government bond yield; WTI crude oil price



Source: Bloomberg, Standard Chartered

US headline inflation rose due to higher energy prices; core inflation beat expectations driven by a pickup in supercore inflation

US inflation for August; m/m breakdown

Indicator (m/m)	Weight	Estimated	Actual	Prior
Headline inflation	100%	0.40%	0.40%	0.10%
Core inflation	79%	0.20%	0.30%	0.20%
Food	13.5%		0.10%	0.10%
Energy	7.5%		2.10%	-1.50%
Core goods inflation	19%		0.10%	0.20%
Core services inflation	60%		0.30%	0.20%
Shelter inflation	35%		0.30%	0.10%
Core services less housing (Supercore)			0.50%	0.20%

Source: Bloomberg, Standard Chartered

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Market Watch

Fed's Warsh delivers what markets wanted to hear

Summary

Event: Fed Chair Warsh, in his debut speech at the annual Jackson Hole summit, delivered what bond markets wanted to hear – he emphatically reiterated his commitment to lowering inflation back to 2% using monetary policy, opening the possibility of a rate hike this year if inflation remains elevated in the coming months, as rates were not restrictive.

Market reaction: The US bond yield curve bear-flattened on Friday after Warsh's speech as money markets raised the probability of a September rate hike to c. 60%, from 36% prior to the speech. The policy rate-sensitive US 2-year yield jumped 11bps on Friday to 4.34%, while the 10-year yield rose 4bps to 4.72%. However, the 30-year yield, which has risen to almost two-decade highs in August, initially fell but ended little changed, as Warsh allayed some concerns about monetary policy but did not address the structural drivers of rising yields – US public debt and fiscal uncertainty.

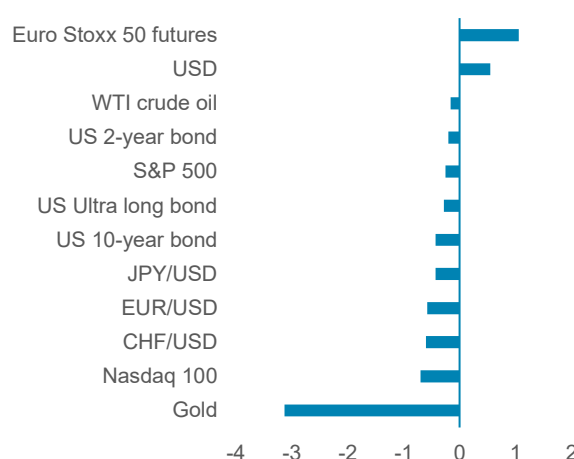
The broad USD index (DXY) rose 0.6%, breaking above its 200DMA, on higher 2-year yields, dragging gold lower by 3.1% to USD 4,455/oz. The S&P500 stock index fell 0.3%.

Our view: The chance of a rate hike has risen after Warsh's speech. We will closely monitor August payrolls data due on Friday and CPI inflation data on 11 September, both of which come before the 16 September Fed policy meeting. Core CPI at or above 0.2% m/m would support a September hike. The bar for further rate hikes remains high, though, amid expected downward revisions to the Fed's preferred PCE inflation data. An October hike is unlikely before November's midterm elections. Chances of a December hike will rise if inflation stays at or above 0.2% m/m in the next three months.

The other high bar against multiple rate hikes is rising US debt and the Treasury's attempt to shorten duration. Multiple rate hikes would be counterproductive. Interestingly, long-term bond yields were little changed after Warsh's speech, perhaps due to disappointment that Warsh did not even mention the USD 40tn US debt or any solutions to counter it.

USD rose with short-term bond yields, while gold fell as Warsh raised the possibility of a rate hike this year

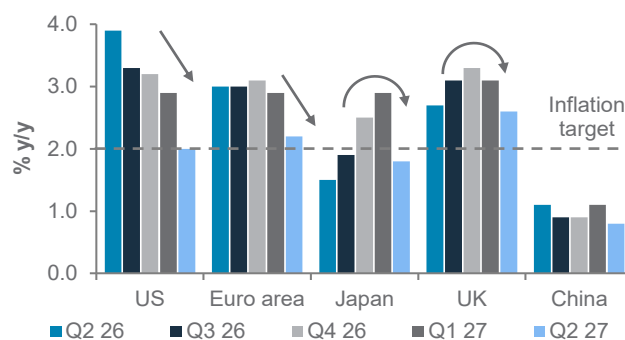
Asset performance: 27-Aug close to 28-Aug close, %



Source: Bloomberg, Standard Chartered

US inflation is expected to decline towards the Fed's 2% target by mid-2027, reducing the need for further rate hikes, even if the Fed hikes once this year

Consensus inflation estimates for major economies



Source: Bloomberg, Standard Chartered

What did Warsh say at Jackson Hole?

Backdrop to Jackson Hole: Chair Warsh had his work at Jackson Hole cut out. Heading into the summit, long-term bond yields had risen partly due to: i) concerns that the Fed is not committed to its 2% inflation target; ii) doubts about whether personal consumption expenditure (PCE)-based inflation remains its preferred measure of inflation; and iii) doubts about whether it plans to use non-monetary policy-based tools to lower inflation. These concerns were raised following Warsh's press conference after the July Fed policy meeting when his replies seemed evasive. Also, Warsh's abandoning of an almost two-decade-long Fed practice of providing forward guidance on rates, adopted after the 2008 financial crisis, raised uncertainty about the future path of rates and how the Fed would react to emerging data.

"We have work to do": Although Warsh stuck by his plan to not offer forward guidance on rates, he managed to allay the three main concerns. He reiterated the Fed's 2% inflation target, specifically on the PCE-based inflation measure. He also confirmed that he believes monetary policy will be the primary tool to bring down inflation to the 2% target if inflation stays elevated.

To quote him: "Here is my standard: We must be confident that underlying inflation is moving to our objective, clearly and at sufficient speed. Otherwise, we have work to do. That's our job." Separately, he said: "While this summer's PCE and CPI (inflation) readings were better than expected, they do not tell me that underlying trends have meaningfully improved. Market prices show confidence that we will deliver price stability. And I can assure you, they're right."

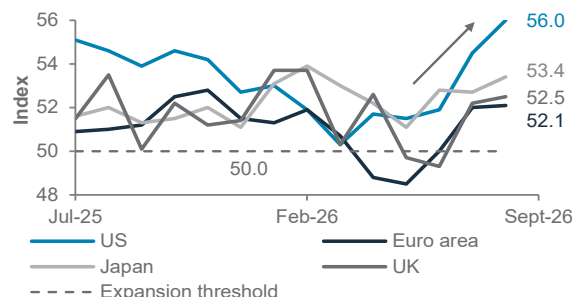
"Let's be equally clear about another aspect of the objective: Price stability is not self-executing, nor is inflation necessarily mean-reverting. It is the Fed's job to deliver stable prices."

Warsh also backed his stance on not offering forward guidance thus: "I wish our understanding of the economy were so precise as to provide a mechanical, tried-and-true answer. But our knowledge just doesn't extend that far — at least not yet — and the factors most relevant to the proper conduct of monetary policy change over time."

Investment Strategy: With some of the misunderstandings out of the way, we believe incoming data will determine whether the Fed will hike rates this year. We now see 50% chance of a rate hike this year, potentially in September, contingent on 0.2% m/m or higher core CPI inflation data for August. Nevertheless, chances of further rate hikes remain low amid i) softening job market and consumption over the summer, which is likely to extend if the AI boom continues to suppress job creation and keep youth unemployment elevated; ii) the expected downward revision in past five years' personal consumption expenditure (PCE)-based

The US is leading an upturn in business activity, driven by a surge in AI investments. However, US job creation and inflation softened over the summer. The contrast highlights the Fed's dilemma in setting its rates policy

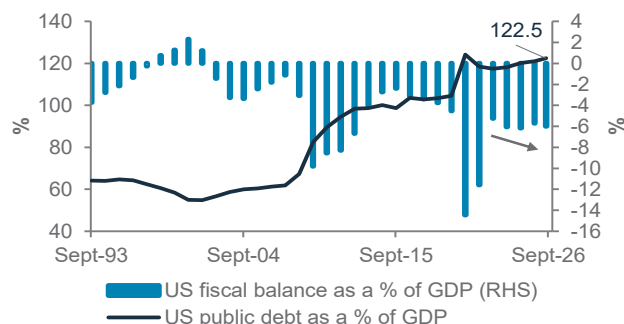
Purchasing managers indices across major economies



Source: Bloomberg, Standard Chartered

The rising US public debt and fiscal deficit sets a high bar for aggressive Fed policy tightening as higher Fed rates would increase the cost of government borrowing

US total public debt and yearly fiscal balance*



Source: Bloomberg, Standard Chartered; *Oct-Sep fiscal years; latest fiscal data: 10 months to July 2026

inflation in September; and iii) continued disinflation in the coming months on cooling shelter and wage inflation and subdued goods inflation as tariff and tax refund impact fades.

Since markets are already pricing in close to two rate hikes over the next 12 months, chances of a more aggressive rate hiking cycle remains low. **Thus, we continue to prefer the 3-5-year maturity bucket in bonds, while looking for tactical opportunities to increase maturity towards 10 years if the US 10-year government bond yield rises towards 5%.** Investor positioning in longer-term bonds remains extremely bearish, raising the chance of tactical opportunities to add duration, however the outlook remains challenging for buy-and-hold investors, given structural drivers of rising long-term yields. Surging corporate bond issuance to support AI capex is adding upward pressure on long-term yields.

Given our view that markets have largely priced in Fed rate hikes, we believe any temporary rise in the USD would be an opportunity to reduce exposure in favour of higher beta G10 currencies such as the AUD. We expect the USD index (DXY) to ease to 96 over the next 12 months amid narrowing rate differentials.

A softer USD would be supportive of further rally in gold – we expect gold to rise further to USD 5,000/oz over the next 12 months. We're also constructive on some Asian currencies backed by strong and rising current account surpluses, such as SGD and CNH.

Equity markets are likely to continue to be driven by robust earnings upgrades, driven by the AI investment cycle, with growing signs of revenue and earnings broadening across other sectors.

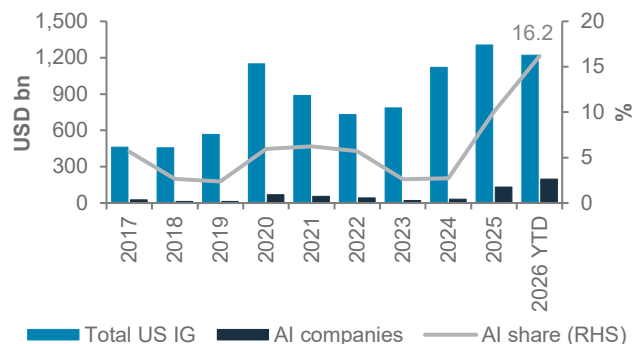
Risk to the view: The main risk to the above view is a resurgence of inflation driven by higher oil prices (staying above USD 90/bbl for a prolonged period) due to an extended blockage of the Hormuz strait or due to an upsurge in the Russia-Ukraine conflict.

Alternatively, there is a risk that the ongoing boom in US AI capex and related surge in corporate earnings spills over to the broader economy, further driving the so-called 'techflation'. Such a demand-driven inflation, as opposed to mostly supply-driven inflation this year, would force the Warsh-led Fed to hike rates more aggressively to meet its 2% inflation target. Warsh's Jackson Hole speech left markets in little doubt that the new Fed Chair takes his inflation fighting credentials seriously. Ultimately, evolving data (primarily inflation prints for now) and markets will guide him, rather than the other way around.

— **Rajat Bhattacharya**, Senior Investment Strategist

Surging corporate bond issuance from AI industry leaders is adding pressure on long-term bond yields

US gross Investment Grade bond issuance and AI issuance



Source: Bloomberg, Standard Chartered

We see downside risks to the USD as interest rate differentials between other major economies narrow

DXY, weighted interest rate differentials & five-year average



Source: Bloomberg, Standard Chartered

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